RBA (60 Minutes interview transcript), 25 Oct; ABC News, 26 Oct 2026
News summary · 27 October 2026

RBA's Hunter says rate rises are "not quite yet" done

> In a 60 Minutes interview on Sunday, RBA Assistant Governor (Economic) Sarah Hunter said demand is still running ahead of what the economy can supply. Markets now price roughly a 61–67% chance of a fifth rate rise on Melbourne Cup Day.

WHAT HAPPENED

- Hunter said **domestic demand is running ahead of the economy's sustainable supply capacity**, which keeps inflation pressure high.
- She said the **oil shock** is spreading beyond petrol into costs such as construction materials, and that more of it is still to come through.
- Asked whether **four rate rises in 2026** were enough, she said **not yet**, but she would not predict the Board's decision.
- A **recession is not the RBA's baseline forecast**, and there is no widespread mortgage stress yet.
- She acknowledged that rate rises hit **mortgage holders directly**, while renters and lower-income households feel inflation instead.

Transmission mechanism: the channels through which cash rate changes affect spending and inflation

Contractionary monetary policy: raising interest rates to slow demand and inflation

KEY NUMBERS

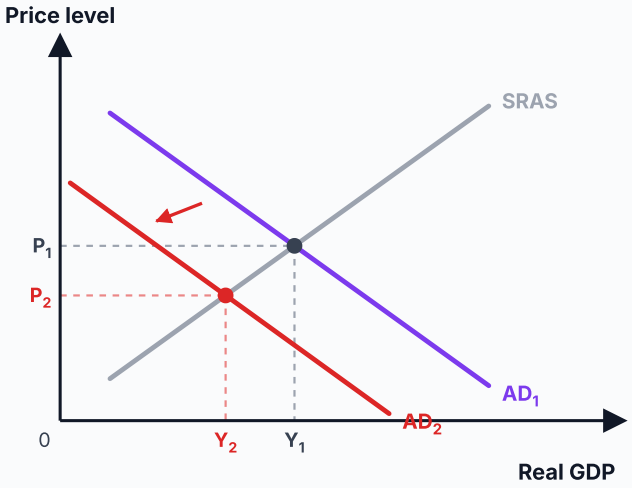
4.60%
current cash rate

4
rate rises so far in 2026

~61–67%
market odds of a hike on 3 Nov

4.85%
cash rate if the RBA hikes again

DIAGRAM Tightening monetary policy to bring demand back to supply



Higher rates raise borrowing costs and reward saving, so **aggregate demand shifts left from AD_1 to AD_2**.

The price level eases from **P_1 to P_2**, but real output also falls from **Y_1 to Y_2**. The RBA is trying to slow demand without causing a recession, often called a **soft landing**.

Exam angle: monetary policy works with **long and variable time lags** and is a blunt tool against a supply-side oil shock. It can't lower oil prices, only stop the shock from becoming entrenched in wages and expectations.

FLOW CHART The transmission mechanism

RBA raises the cash rate → Mortgage and business loan rates rise → Spending and investment slow; AUD rises → **Inflation returns toward 2–3%**

SYLLABUS LINK

Topic 4 – monetary policy: how RBA decisions are made, the transmission mechanism, time lags, and the role of central bank communication in shaping expectations.

TRY THIS

1. Outline the transmission mechanism from a cash rate rise to lower inflation. **(4 marks)**
2. Evaluate how effective monetary policy is in responding to a supply-side oil shock. **(6 marks)**

Sources:
1. RBA – Sarah Hunter, Interview on 60 Minutes – https://www.rba.gov.au/speeches/2026/sp-ag-2026-10-25.html
2. ABC News – Markets blog, 26 Oct 2026 – https://www.abc.net.au/news/2026-10-26/asx-markets-business-live-news-october-26/107306820

Summary written in our own words from the sources listed; diagrams are illustrative and not to scale.